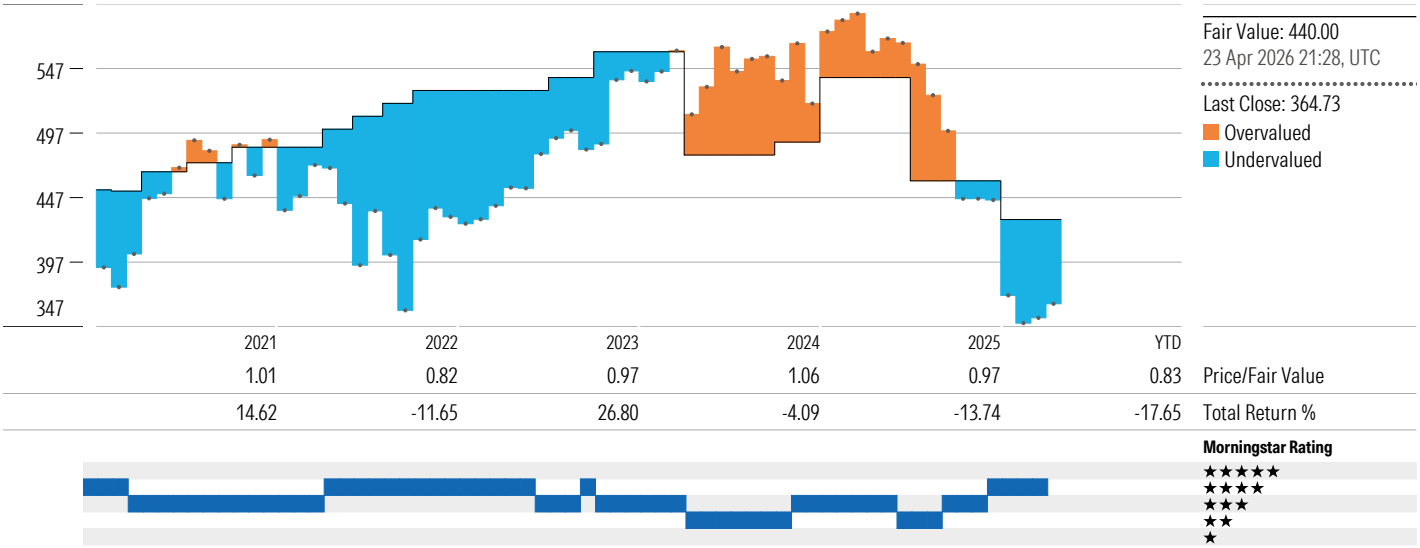
Roper Technologies Inc ROP ★★★★ 23 Apr 2026 21:31, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
364.73 USD 22 Apr 2026	440.00 USD 23 Apr 2026 21:28, UTC	0.83	37.24 USD Bil 23 Apr 2026	None	Mid Blend	Medium	Standard	22 Apr 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.01	0.82	0.97	1.06	0.97	0.83
Total Return %	14.62	-11.65	26.80	-4.09	-13.74	-17.65

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 22 Apr 2026. Last Close as of 22 Apr 2026. Fair Value as of 23 Apr 2026 21:28, UTC.

Contents

Analyst Note (23 Apr 2026)
Business Description
Business Strategy & Outlook (23 Apr 2026)
Bulls Say / Bears Say (23 Apr 2026)
Economic Moat (23 Apr 2026)
Fair Value and Profit Drivers (23 Apr 2026)
Risk and Uncertainty (23 Apr 2026)
Capital Allocation (23 Apr 2026)
Analyst Notes Archive
Financials
ESG Risk
Appendix
Research Methodology for Valuing Companies

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Roper Earnings: Aggressive Buybacks Kicking in as Management Sees Valuation Dislocation

Analyst Note Eric Compton, CFA, Director, 23 Apr 2026

Roper Technologies opened 2026 with a robust first quarter, beating guidance on both the top and bottom lines. Organic revenue growth of 6% sat at the high end of its previous target, while management raised its full-year EPS outlook by 2% at the midpoint.

Why it matters: The first quarter was solid, with no obvious signs of artificial intelligence-driven deterioration for Roper's core business units. While results were good, management kept its previous full-year revenue outlook, although we think it is being conservative and expect a beat.

- The real story was the massive $1.5 billion share repurchase, signaling management's belief that the stock is attractive. It also raised the repurchase authorization, and we expect significant repurchases to continue. We think share count can decline by close to 5% this year.
- Juxtaposed to this was commentary on the generally weak mergers and acquisitions environment, with management citing private seller hesitation to sell in the current environment, implying a disconnect between public market valuations and private market expectations. We like Roper staying disciplined.

The bottom line: We increased our fair value estimate to $440 from $430 per share, after minor adjustments. We expect a full-year revenue guidance raise eventually, unless the current trajectory changes materially. We like the aggressive repurchase activity and view shares as modestly

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Sector
Technology

Industry
Software - Application

Business Description

Roper Technologies is a holding company focused on acquiring, managing, and developing niche market-leading technology businesses. The company operates a decentralized business model whereby each portfolio company operates independently from the others. Roper positions itself as a free cash flow compounder, whereby excess free cash flow generated by its portfolio businesses is repatriated to the parent company, which is then utilized to acquire additional businesses. Presently, the company operates 30 distinct businesses with over three-fourths of the revenue coming from software products and over two-thirds of the revenue coming from recurring and recurring sources.

undervalued.

- Management gave some details on AI monetization efforts, citing "AI influenced" as 75% of new business for CentralReach. We characterize this as a relatively less concrete example, and we think investors will look for more tangible evidence before buying into the AI TAM expansion thesis.
- Deltek continues to face headwinds, a lingering theme from past quarters, while Aderant, DAT, Foundry, and NDI all posted growth. While we don't think we need a great performance from Deltek to get a revenue raise, it would help to ease concerns around the procurement market.

Business Strategy & Outlook Eric Compton, CFA, Director, 23 Apr 2026

Roper operates as a compounder of free cash flow, utilizing excess cash generated by its underlying businesses to acquire additional companies, which in turn generate additional free cash flow. While this strategy has historically worked well, Roper's focus on acquiring premium businesses has resulted in increasingly higher acquisition multiples, which have weighed on returns. Although we view the improved quality of Roper's portfolio positively, we think Roper will continue to pay higher multiples for its new platforms, which are likely to weigh on returns. Added risks from artificial intelligence raise the bar even higher.

Over the past six years Roper has significantly altered the composition of its portfolio companies, divesting from its industrial and project-oriented businesses. Software now accounts for roughly three-quarters of total revenue. This mix-shift has enabled Roper to become an asset-light, noncyclical business with high levels of recurring revenue. However, this transition in business model has come at a price.

Given the desirable characteristics of the company's typical acquisition candidate, Roper competes against several well-capitalized strategic and financial acquirers that are also executing similar acquisition strategies. Roper has been forced to pay premium market prices, resulting in declining returns on invested capital, a trend we expect to continue for the foreseeable future.

Management believes that an increased allocation toward bolt-on acquisitions, as opposed to new platforms, may help improve the company's overall return profile. Compared with new platform acquisitions, bolt-ons generate greater synergies, as Roper can attach the acquired company to an existing platform and sell it to their existing customer base. As a result, we now expect Roper to acquire one or two new platforms annually, with the balance of acquisition spending allocated toward bolt-ons, which we think will better serve investors and customers. Nonetheless, as long as Roper relies on acquisitions as its primary engine of growth, we believe margin expansion will remain muted and underlying growth within its asset base will limit economic profits.

Bulls Say Eric Compton, CFA, Director, 23 Apr 2026

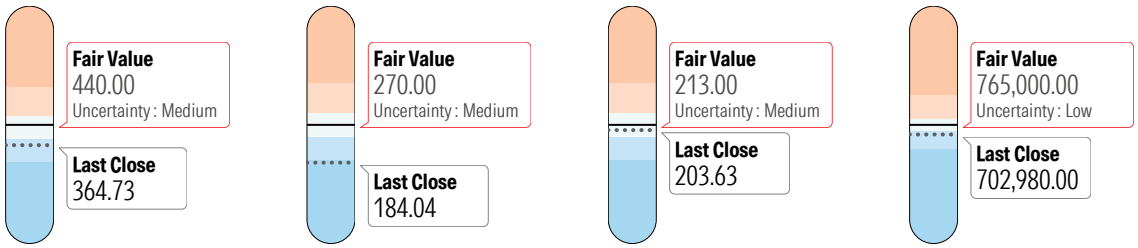
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Competitors



	Roper Technologies Inc ROP	Danaher Corp DHR	IDEX Corp IEX	Berkshire Hathaway Inc Class A BRK.A
Economic Moat	None	Wide	Wide	Narrow
Currency	USD	USD	USD	USD
Fair Value	440.00 23 Apr 2026 21:28, UTC	270.00 29 Jan 2025 16:46, UTC	213.00 5 Feb 2026 07:06, UTC	765,000.00 31 Oct 2025 21:22, UTC
1-Star Price	594.00	364.50	287.55	956,250.00
5-Star Price	308.00	189.00	149.10	612,000.00
Assessment	Undervalued 23 Apr 2026	Undervalued 23 Apr 2026	Fairly Valued 23 Apr 2026	Undervalued 23 Apr 2026
Morningstar Rating	★★★★23 Apr 2026 21:31, UTC	★★★★22 Apr 2026 21:27, UTC	★★★22 Apr 2026 21:28, UTC	★★★★22 Apr 2026 21:25, UTC
Analyst	Eric Compton, Director	Julie Utterback, Senior Equity Analyst	Krzysztof Smalec, Equity Analyst	Greggory Warren, Senior Equity Analyst
Capital Allocation	Standard	Exemplary	Exemplary	Exemplary
Price/Fair Value	0.83	0.68	0.96	0.92
Price/Sales	4.99	5.30	4.43	2.46
Price/Book	1.96	2.46	3.77	1.41
Price/Earning	25.69	33.92	25.61	15.10
Dividend Yield	0.95%	0.74%	1.39%	0.00%
Market Cap	37.23 Bil	126.39 Bil	15.33 Bil	1,015.40 Bil
52-Week Range	313.07—584.03	175.00—242.80	157.25—217.16	685,150.00—812,855.00
Investment Style	Mid Blend	Large Value	Mid Blend	Large Value

- The higher interest-rate environment may raise the cost of capital for private equity firms relative to Roper, which could provide the company with more affordable acquisition targets.
- Greater allocation toward bolt-on acquisitions could accelerate organic growth.
- A continued shift toward the cloud could help advance product development within portfolio companies, potentially accelerating organic growth.

Bears Say Eric Compton, CFA, Director, 23 Apr 2026

- The high amount of dry powder and increased utilization of continuation funds within private equity may affect the quality of assets up for sale.
- Roper's focus on acquiring leading companies at premium valuations may result in asset prices that will not allow the firm to generate positive economic profits.
- AI will disrupt software solutions in many ways, including lower-growth prospects and structurally worse margins, impairing Roper's assets.

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Economic Moat Eric Compton, CFA, Director, 23 Apr 2026

We assign Roper Technologies a no-moat rating based on our assessment that the company is an investment firm, rather than a software business. Roper compounds free cash flow by acquiring new businesses that operate within the software sector and whose returns are dependent on the performance of the underlying asset, much like a private equity or management firm.

Under Morningstar's economic moat framework, we deem a company that can generate economic profits over the next 10 years to have a narrow economic moat and a company that can generate economic profits over the next 20 years to have a wide economic moat. As a result, the price at which Roper can acquire incremental businesses makes a large impact on our moat assessment. The typical Roper acquisition target is an asset-light software business with high recurring revenue, that extracts technology-enabled operating as a market leader in a unique niche. These are highly desirable businesses that typically command premium multiples. As a result, Roper's asset base has experienced significant growth compounding at double digits over the past 10 years. Despite the high quality of acquisitions Roper has achieved, the company has not been able to generate EBIT growth at the same level as its invested capital base, resulting in negative economic profits. Given that Roper has no structural advantage that would allow it to acquire businesses at discounted prices and has not managed the businesses in a way that extracts technology-enabled meaningful synergies, we are skeptical that Roper's business model will result in durable economic profits.

Within each of Roper's operating segments, application software, network software, and technology-enabled products, we see evidence of numerous companies with "moaty" characteristics, including switching costs and network effects. While we see moaty characteristics, the goodwill and intangible assets associated with acquisitions that often come with premium valuations weigh on returns in the Morningstar framework. Ultimately, we do not see Roper generating sufficient excess returns beyond the company's cost of capital to warrant a moat. However, a focus on tighter integration of acquisitions within existing platforms and lower absolute multiples paid for deals could help lift returns.

In our view, several factors support switching costs within a technology solution. A key element relates to the criticality of the offering, as more integral solutions will likely have more touch points and greater integration within an organization, resulting in stronger switching costs. Operational risk can also contribute to switching costs as changing vendors can result in significant re-engineering and potential data loss. Finally, general inertia can also contribute significantly to switching costs as customers may have spent months or years re-learning or redesigning deeply integrated workflows.

Within Roper's application software and technology-enabled products segments, which account for greater than 50% and 20% of sales, respectively, we see several examples of companies that benefit from switching costs. Key data points that inform investors about the presence of a moat supported by

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switching costs include gross and net retention. Gross retention represents the percentage of the customer base that remains a customer after one year, and net retention represents the percentage of customer spending that the company retains over the same period. Roper's enterprise gross retention rate is in the mid-90s, which is consistent with that of typical moat-bearing software companies.

Although we do not have retention metrics for companies within Roper's technology-enabled product segment, a significant percentage of its sales is derived from consumables associated with its medical businesses. As a result, firms like Verathon have benefited from a traditional razor-and-blade model where the company sells its proprietary Glidescope visualization system and then sells the required bronchoscope and laryngoscope, which are single-use. A medical practice is unlikely to switch the underlying hardware system, so the consumable element is a recurring revenue stream.

Network software, which accounts for over 20% of total sales, comprises marketplace software offerings that connect providers and customers across various industries. One of the most notable businesses within this segment is DAT Freight & Analytics, North America's largest truckload freight marketplace. DAT helps connect brokers and shippers with carriers. As more carriers join the platform, it becomes increasingly attractive to new customers, as it ensures faster matching and lower empty miles—a strong value proposition for brokers. This virtuous cycle helps result in network effects.

Fair Value and Profit Drivers Eric Compton, CFA, Director, 23 Apr 2026

Our fair value estimate of $440 per share implies a fiscal EV/sales ratio of 6 times and price/earnings ratio of 29 times. Our discounted cash flow model uses an 8.6% weighted average cost of capital.

We model a five-year CAGR for revenue of 11%. Average organic growth is expected to remain in the midsingle digits over our forecast, while acquired revenue adds a low- to mid-single-digit boost. Given that the majority of Roper's portfolio consists of mature market leaders in niche industries, we anticipate that organic growth will be primarily driven by pricing power and, to a lesser extent, by share gains and product innovation. Inorganic growth is still expected to remain the key driver of top-line performance. Since 2016, Roper has allocated several billion dollars annually toward acquisitions, resulting in the development of various new platforms and related bolt-ons. Considering Roper has billions of dollars in dry powder and continues to scale its cash flow capabilities, we believe it will have no problem funding its acquisition strategy.

With respect to profitability, operating margins should improve moderately as older portfolio cohorts continue to scale and mature. Additionally, margins should benefit from the continued transition to the cloud across all their businesses, as their solutions will achieve greater scalability. Nonetheless, we anticipate newer cohorts of acquisitions will be a headwind to consolidated margin improvement, as we expect they will be earlier in their life cycles than Roper's existing portfolio of businesses. As a result, we forecast operating margins will improve by approximately 220 basis points over the next five years.

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Risk and Uncertainty Eric Compton, CFA, Director, 23 Apr 2026

We assign Roper a Medium Morningstar Uncertainty Rating. As a diversified conglomerate of over 30 technology businesses and counting, the firm is relatively insulated from idiosyncratic risks, although it is exposed to software in general. No single-portfolio company accounts for more than 15% of revenue, making problems within any one individual company less impactful on Roper overall.

We identify a range of risks associated with Roper that relate to the company's M&A strategy and potential disruptions resulting from new technology developments. As an acquirer of market-leading niche software businesses, Roper typically pays premium multiples, leaving little margin for error. If the acquired business fails to perform in line with their expectations, or if Roper is unable to implement their strategic improvements, the company's returns will be negatively affected. Given its acquisition model, Roper must also maintain adequate access to capital markets for borrowing purposes. Further, the company is subject to swings in interest rates, depending on macro and cyclical factors.

We view the proliferation of new artificial intelligence tools as another risk that could disrupt Roper's underlying businesses. Clients may be able to leverage new AI solutions to bring workflows in-house. Additionally, competitors may be able to utilize these new tools at a faster rate than Roper to develop improved solutions, resulting in more competition and potentially lost market share. That said, we still see defensible moats for many of Roper's portfolio companies, particularly those with network effects, regulatory barriers to entry, and strong domain expertise for more complex workflows.

While we do not see significant ESG risks, we note Roper faces strong competition for software engineers on the hiring front, and also faces risks arising from a potential data breach within its data centers.

Capital Allocation Eric Compton, CFA, Director, 23 Apr 2026

We assign Roper Technologies a Standard Capital Allocation Rating, supported by a sound balance sheet, a fair investment history, and an appropriate record of shareholder distributions. We expect capital allocation to primarily focus on incremental acquisitions, with regular dividends remaining a relatively small use of funds. Investment within the portfolio companies will be funded and determined by each respective company, rather than Roper Holdco, and will vary based on several factors specific to each company. We also expect the company to fulfill its debt obligations as they mature, which we do not view as a concern.

Despite the non-trivial amount of leverage on their balance sheet (consisting of $9.3 billion in debt), given Roper's strong free cash flow profile and large revolving credit facility, we think the company has more than enough liquidity to cover these costs.

As a serial acquirer of software-focused businesses, almost all new invested capital is utilized to

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purchase incremental companies. Despite the high quality of assets Roper has purchased, we think Roper's investment history is only fair, as we estimate the average acquisition likely does not generate a positive net present value until year 10. As a result, Roper's acquisition strategy is value-neutral, given that it is paying fair market prices for the underlying assets.

The company pays a quarterly dividend, which has historically represented a low-single-digit payout ratio. We expect the dividend to increase over time as Roper's earnings continue to improve. As the firm continues to scale, we would expect the payout ratio to increase incrementally over time. During the third quarter of 2025, Roper introduced its first share repurchase program. We anticipate the company will opportunistically repurchase shares over the coming periods.

Analyst Notes Archive

Roper Technologies: Lower Organic Revenue Outlook Affects Shares; Maintain Fair Value Alex Medow,Equity Analyst,23 Oct 2025

Roper Technologies achieved 14% revenue growth year over year, reaching $2 billion. Its 40% adjusted EBITDA margin declined 50 basis points year over year. Shares are down 8% as we write, as tariff headwinds and the government shutdown are expected to affect near-term growth. Why it matters: Despite management's best efforts to become a diversified, noncyclical conglomerate of software businesses, Roper continues to experience headwinds from several macroeconomic events. As a result, organic growth continues to perform below management's expectations. Organic growth of 6%, at the very bottom of management's outlook, was affected by tariff headwinds, the government shutdown, and continued weakness across the freight industry. In particular, three of Roper's largest businesses—Deltek, Neptune, and DAT—suffered the most disruption. Our no-moat rating is due to the high prices it pays for acquisitions despite the perceived quality of the businesses. These third-quarter results vindicate this view as all businesses face headwinds, and the high multiples paid leave no room for error to generate positive economic profits. The bottom line: We reiterate our fair value estimate of no-moat Roper of $460 per share, which now appears fairly valued after today's selloff. It appears market expectations for long-term organic growth are increasingly aligned with our outlook, leading to convergence between the share price and our fair value estimate. We forecast Roper will generate mid-single-digit organic growth for the foreseeable future. Coming up: Roper anticipates full-year revenue growth of 13% and adjusted diluted earnings per share of $19.93 at the midpoint. Roper's revenue forecast accounts for 6% organic growth, 50 basis points lower than guidance provided during the second quarter, as headwinds impacting Neptune and Deltek should persist in the fourth quarter.

Roper Technologies Earnings: Acquisition Engine Remains Intact but Continues to Pay High Multiples Alex Medow,Equity Analyst,21 Jul 2025

Roper Technologies raised fiscal 2025 revenue guidance by 1% to 13% growth year over year, as the

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company announced a new platform acquisition. During the second quarter, Roper achieved adjusted diluted EPS slightly above prior guidance, allowing management to raise its full-year outlook. Why it matters: During the second quarter Roper completed its second platform acquisition of fiscal 2025, and first network software acquisition since 2019, paying 7 times sales and 22 times EBITDA. We view this high acquisition multiple as evidence of the steep competition for quality assets. Subsplash, is a leading provider of cloud-based software solutions to faith-based organizations. Despite the intriguing business, it is unclear how accretive Subsplash will be in the near future given its margins are below the segment's average. Despite the high retention and strong characteristics of the new acquisition, Subsplash generates EBITDA margins in the low 30s, below the network software segment average of 54.6%. Management anticipates that in five years Subsplash will achieve margins in the low 40s. The bottom line: Despite Roper's high-quality portfolio of assets, we reiterate our fair value estimate for no-moat Roper of $460 per share, 16% below the company's current share price. As evidenced by Roper's newest acquisition, we continue to expect Roper will pay premium prices to acquire new platforms, affecting its ability to generate economic profits. Coming up: Roper estimates 13% year-over-year growth, a 1% improvement relative to guidance during the first quarter, and 9% adjusted diluted EPS growth for fiscal 2025. Organic growth expectations remain unchanged with management anticipating 6.5% organic growth. This improved outlook is entirely attributable to Roper's acquisition of Subsplash, allowing management to raise full-year guidance by 1% relative to the outlook during the first quarter.

Roper Technologies: High Acquisition Multiples Weigh on Returns; Initiating With a $460 FVE Alex Medow,Equity Analyst,9 Jul 2025

We initiate coverage of Roper Technologies, a serial acquirer of asset-light software businesses. Roper uses a decentralized business model, whereby each portfolio company operates independently. Roper seeks to compound free cash flow by deploying all excess cash to acquire additional businesses. The bottom line: We initiate with a fair value estimate of $460 per share and a no-moat rating. We view shares as overvalued, trading 20% above our FVE. Our no-moat rating is based on our assessment that Roper is an investment company, rather than a software business. Much like a private equity firm, Roper's returns are dependent on the underlying performance of its portfolio. Given that Roper does not have preferred acquirer status, we think Roper will struggle to generate positive economic profits as it continues to pay fair market prices for acquisitions. Our fair value estimate assumes an 11% compound annual growth rate for revenue over the next 10 years. This reflects average inorganic growth of 6% acquired at an average sales multiple of seven times, with the remainder coming from organic growth. Big picture: The typical Roper acquisition target is an asset-light software business with high recurring revenue that's operating as a market leader in a unique niche. These are highly attractive businesses to numerous acquirers, forcing Roper to pay a premium price. Despite the high quality of businesses within Roper's portfolio, growth in Roper's asset base has outpaced operating income growth over the past 11 years, which we attribute to the high prices Roper has been paying. Given that Roper does not

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Roper Technologies Inc ROP ★★★★ 23 Apr 2026 21:31, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
364.73 USD 22 Apr 2026	440.00 USD 23 Apr 2026 21:28, UTC	0.83	37.24 USD Bil 23 Apr 2026	None	Mid Blend	Medium	Standard	22 Apr 2026 05:00, UTC

extract synergies from their acquired companies and the high multiples we expect it will continue to pay, we forecast underlying asset growth will make it difficult for Roper to generate positive returns on invested capital.

Roper Earnings: Good Start to 2025, Raises Full-Year Outlook Expectations Eric Compton, CFA,Director,28 Apr 2025

Wide-moat Roper reported first-quarter results that were largely in line with expectations, with both revenue and EPS matching FactSet consensus. Despite the macroeconomic uncertainty, management raised its full-year guidance, citing the company's recurring revenue business model as a key buffer against a potentially softer environment. We credit Roper for building a portfolio with high retention, SaaS-based businesses and believe management's outlook is achievable. However, unlike pure-play software names, Roper remains exposed to broad risks such as tariffs and Department of Government Efficiency funding cuts. Shares were trading slightly lower following the earnings release. After factoring in the updated guidance and near-term risks, we maintain our fair value estimate of $540 per share and view shares as fairly valued.We have seen Roper strategically shift away from a cyclical industrial business to a more stable, asset-light business with a portfolio composed of niche software companies. This recurring revenue business model helped boost first-quarter revenue by 12% year over year and organic revenue by 5% year over year. Delving deeper, the application software division benefited from its sticky offerings and migrations from on-premises solutions to cloud-based platforms. We believe the strong bookings momentum and continued healthy retention rates should provide a robust runway for future revenue contribution. A key portfolio name, Deltek, has roughly two thirds of its business exposed to government contractors, and uncertainties around current government policies and shutdowns are causing some pipelines to push out. This contributed to at least a 1-2-percentage-point headwind to Deltek.

Roper Earnings: Strong Performance and a Healthy M&A Outlook Eric Compton, CFA,Director,31 Jan 2025

Wide-moat-rated Roper Technologies posted solid fourth-quarter results, led by impressive revenue growth underpinned by a balanced contribution of organic and inorganic revenue growth. We raise our fair value estimate to $540 per share from $500, based on an impressive acceleration of demand for mission-critical solutions and continued enterprise bookings momentum. We believe the company's consistently high gross and net retention supports the continued growth and expansion of its software portfolio of recurring revenue. In addition, Roper had solid capital allocation for 2024, marked by acquisitions of market-leading vertical software businesses like Procare Solutions and Transact Campus. We view Roper as a high-quality, diversified technology company with a portfolio of leading businesses in niche markets with durable competitive advantages, underpinning our wide moat rating. With shares up 5% following the earnings report, we view shares as fairly valued.Roper's consolidated

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revenue grew 14% year on year, balanced between organic and inorganic contributions. The top line exhibited broad-based strength, with its application software business being the shining star, as the segment finished strong with 21% revenue growth year on year on a full-year basis. Network software stabilized after weakness in freight matching and its foundry business. Lastly, its tech-enabled division finished strong with 12% revenue growth for the full year—wins came from Verathon, Neptune Technology, and solid execution for the rest of the holdings. Management guided to a full-year 2025 total revenue growth of 10%, with organic revenue growth of 6%-7%. Furthermore, the company expects at least mid-single-digit revenue growth from all the segments for 2025. Overall, we like the prospects of Roper's recurring revenue streams providing a source of resiliency regardless of how economic conditions unfold throughout the year.

Roper Earnings: Growth Fueled by Portfolio Expansion With Mixed Organic Performance Emma Williams,Equity Analyst,23 Oct 2024

Wide-moat Roper Technologies reported sound third-quarter results that marginally surpassed our top-line expectations on inorganic growth upside. The diversified technology firm and cash compounder reported varied organic growth across a broad portfolio of software and legacy industrial offerings, alongside contribution from recently acquired firms. Following the result, we raise our fair value estimate to $490 per share, from $480, on time value of money, yet shares continue to screen as overvalued on a risk-adjusted basis.Third-quarter revenue increased 13%, inclusive of 4% organic growth. This organic performance was underpinned by strong demand for Roper's mission-critical software offerings and a recovery in water metering sales, offset by another sequential decline from the DAT, Loadlink, and Foundry businesses on difficult freight-market conditions and lingering entertainment industry strike impacts. On profitability, Roper reported adjusted EBITDA margins of 40.7%, down about 100 basis points year on year, and healthy free cash flow.For full-year fiscal 2024, management expects revenue of 13%, up from prior guidance of 12%, including 6% organic growth, and adjusted earnings per share of $18.23, which we view as achievable. This outlook assumes a reacceleration of organic growth in the fourth quarter, supported by strong software bookings and a stabilizing freight market. Roper expects adjusted EPS of $4.72 at the midpoint for the fourth quarter, marginally below FactSet consensus.During the quarter, Roper closed the acquisition of higher education software and integrated payments provider Transact Campus for $1.5 billion. The acquisition will be integrated with Roper's existing complementary higher education software solution, CBORD, with a cost synergy plan underway. We view this acquisition as consistent with Roper's capital deployment strategy, with the combined business expected to generate organic growth in the high single digits over the long term.

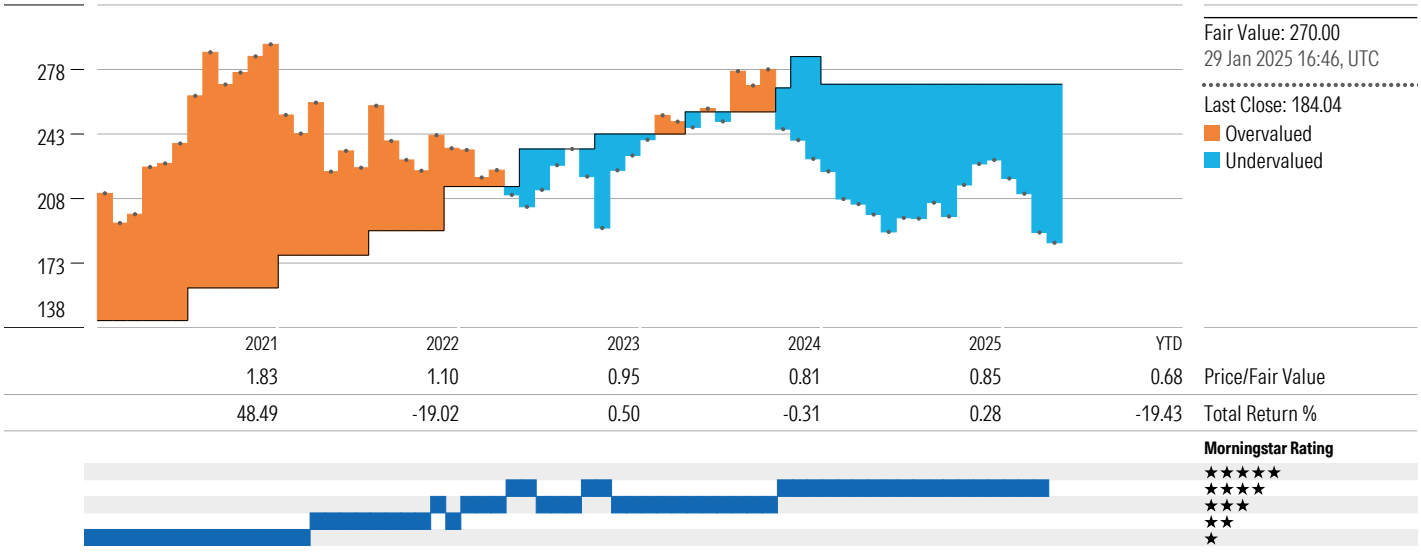
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Competitors Price vs. Fair Value

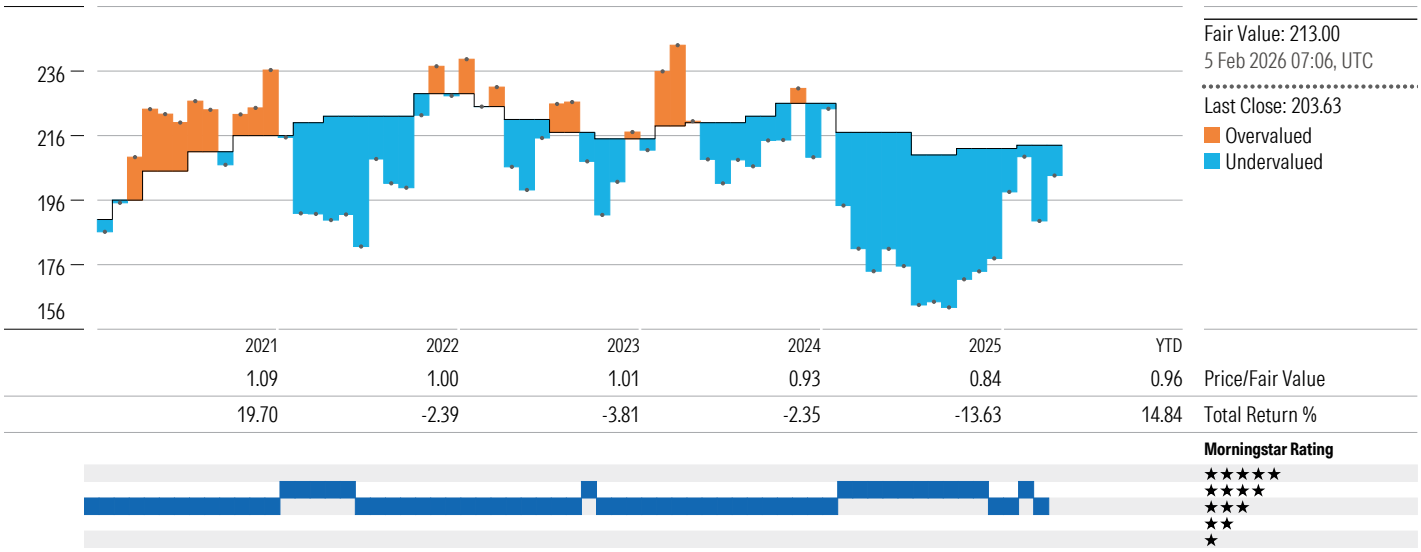
Danaher Corp DHR



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.83	1.10	0.95	0.81	0.85	0.68
Total Return %	48.49	-19.02	0.50	-0.31	0.28	-19.43

Total Return % as of 22 Apr 2026. Last Close as of 22 Apr 2026. Fair Value as of 29 Jan 2025 16:46, UTC.

IDEX Corp IEX



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.09	1.00	1.01	0.93	0.84	0.96
Total Return %	19.70	-2.39	-3.81	-2.35	-13.63	14.84

Total Return % as of 22 Apr 2026. Last Close as of 22 Apr 2026. Fair Value as of 5 Feb 2026 07:06, UTC.

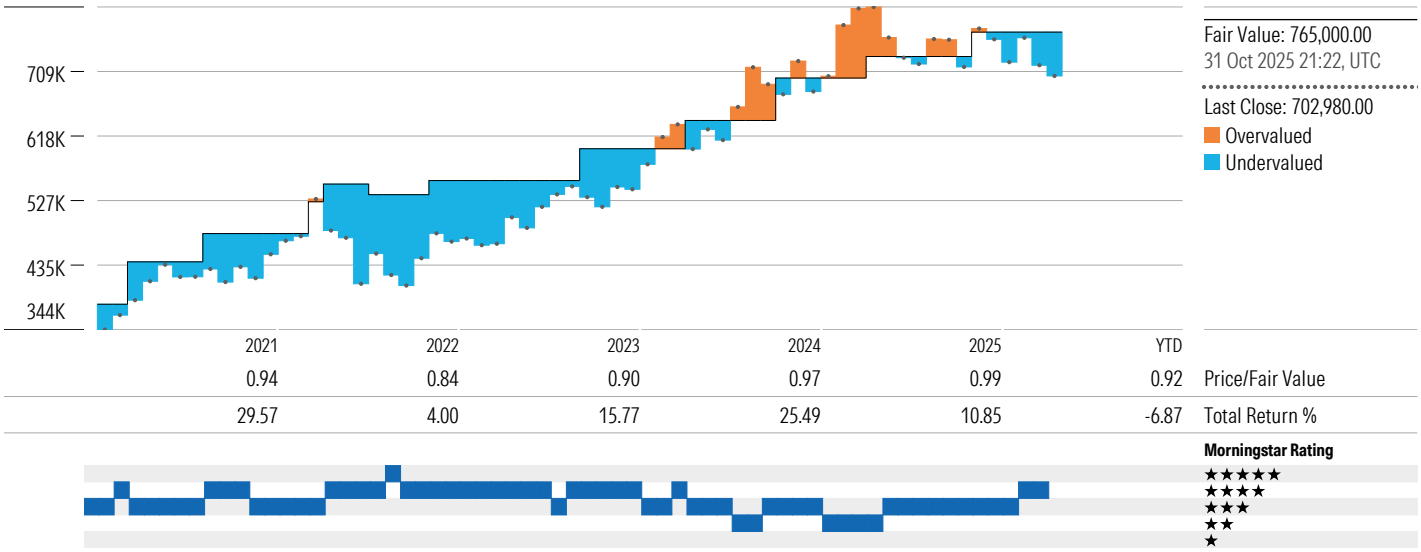
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Competitors Price vs. Fair Value

Berkshire Hathaway Inc Class A BRK.A



	2021	2022	2023	2024	2025	YTD	
	0.94	0.84	0.90	0.97	0.99	0.92	Price/Fair Value
	29.57	4.00	15.77	25.49	10.85	-6.87	Total Return %

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 22 Apr 2026. Last Close as of 22 Apr 2026. Fair Value as of 31 Oct 2025 21:22, UTC.

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Morningstar Valuation Model Summary

Financials as of 23 Apr 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (USD Mil)	6,178	7,039	7,903	8,607	9,547	10,624	11,832	13,160
Operating Income (USD Mil)	1,745	1,997	2,235	2,403	2,771	3,161	3,597	4,050
EBITDA (USD Mil)	2,663	3,039	3,159	3,355	3,889	4,459	5,072	5,721
Adjusted EBITDA (USD Mil)	2,663	3,039	3,159	3,355	3,889	4,459	5,072	5,721
Net Income (USD Mil)	1,384	1,549	1,536	1,573	1,839	2,096	2,386	2,689
Adjusted Net Income (USD Mil)	1,384	1,549	1,536	1,573	1,839	2,096	2,386	2,689
Free Cash Flow To The Firm (USD Mil)	236	-949	-713	1,248	379	514	620	954
Weighted Average Diluted Shares Outstanding (Mil)	107	108	108	103	103	104	104	105
Earnings Per Share (Diluted) (USD)	12.89	14.36	14.20	15.35	17.84	20.21	22.88	25.63
Adjusted Earnings Per Share (Diluted) (USD)	12.89	14.36	14.20	15.35	17.84	20.21	22.88	25.63
Dividends Per Share (USD)	2.80	3.00	0.00	2.70	3.80	4.00	4.20	4.40

Margins & Returns as of 23 Apr 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	30.4	28.2	28.4	28.3	27.9	29.0	29.8	30.4	30.8	29.6
EBITDA Margin %	—	43.1	43.2	40.0	39.0	40.7	42.0	42.9	43.5	—
Adjusted EBITDA Margin %	—	43.1	43.2	40.0	39.0	40.7	42.0	42.9	43.5	41.6
Net Margin %	21.3	22.4	22.0	19.4	18.3	19.3	19.7	20.2	20.4	19.6
Adjusted Net Margin %	21.3	22.4	22.0	19.4	18.3	19.3	19.7	20.2	20.4	19.6
Free Cash Flow To The Firm Margin %	-6.2	3.8	-13.5	-9.0	14.5	4.0	4.8	5.2	7.2	7.2

Growth & Ratios as of 23 Apr 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	13.7	15.0	13.9	12.3	8.9	10.9	11.3	11.4	11.2	10.7
Operating Income Growth %	13.6	14.5	14.4	12.0	7.5	15.3	14.1	13.8	12.6	12.6
EBITDA Growth %	14.5	25.4	14.1	4.0	6.2	15.9	14.7	13.7	12.8	12.7
Adjusted EBITDA Growth %	14.1	25.4	14.1	4.0	6.2	15.9	14.7	13.7	12.8	12.6
Earnings Per Share Growth %	-30.6	-69.7	11.4	-1.1	8.1	16.2	13.3	13.2	12.0	12.5
Adjusted Earnings Per Share Growth %	-30.6	-69.7	11.4	-1.1	8.1	16.2	13.3	13.2	12.0	12.5

Valuation as of 23 Apr 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	42.3	36.2	31.3	23.8	20.4	18.0	15.9	14.2
Price/Sales	9.4	7.9	6.0	4.3	3.9	3.5	3.2	2.8
Price/Book	3.4	3.0	2.4	2.1	1.9	1.7	1.6	1.4
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	24.3	21.0	17.9	13.8	11.9	10.4	9.1	8.1
EV/EBIT	37.1	32.0	25.3	19.3	16.7	14.7	12.9	11.5
Dividend Yield %	0.5	0.6	—	0.7	1.0	1.1	1.2	1.2
Dividend Payout %	21.7	20.9	0.0	17.6	21.3	19.8	18.4	17.2
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 23 Apr 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	4.9	4.9	4.4	4.7	5.0	5.1	5.2	5.3
ROE %	7.9	8.2	7.7	8.8	9.3	9.6	9.9	10.1
ROIC %	6.1	6.3	4.4	6.6	7.1	7.6	8.0	8.4

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	—	—	—	16.9	16.9	17.7	18.3	18.7
Assets/Equity	1.6	1.7	1.7	1.9	1.9	1.9	1.9	1.9
Net Debt/EBITDA	—	—	—	3.5	2.9	2.4	2.1	1.7
Total Debt/EBITDA	—	—	—	2.9	2.7	2.7	2.7	2.7
EBITDA/ Net Interest Expense	16.2	11.7	9.7	8.5	12.2	12.2	12.2	12.3

Forecast Revisions as of 23 Apr 2026	2026		2027		2028	
Prior data as of 27 Jan 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	440.00	426.11	—	—	—	—
Revenue (USD Mil)	8,607	8,533	9,547	9,456	10,624	10,524
Operating Income (USD Mil)	2,403	2,391	2,771	2,755	3,161	3,143
EBITDA (USD Mil)	3,355	3,348	3,889	3,862	4,459	4,429
Net Income (USD Mil)	1,573	1,651	1,839	1,827	2,096	2,082
Earnings Per Share (Diluted) (USD)	15.35	15.26	17.84	16.80	20.21	19.04
Adjusted Earnings Per Share (Diluted) (USD)	15.35	15.26	17.84	16.80	20.21	19.04
Dividends Per Share (USD)	2.70	3.60	3.80	3.80	4.00	4.00

Key Valuation Drivers as of 23 Apr 2026

Cost of Equity %	9.1
Pre-Tax Cost of Debt %	5.8
Weighted Average Cost of Capital %	8.6
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	7.0
Stage II Investment Rate %	33.0
Perpetuity Year	11

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 23 Apr 2026

	USD Mil
Present Value Stage I	5,627
Present Value Stage II	2,305
Present Value Stage III	42,850
Total Firm Value	**50,781**
Cash and Equivalents	297
Debt	9,301
Other Adjustments	0
Equity Value	**41,777**
Projected Diluted Shares	97
Fair Value per Share (USD)	**440.00**

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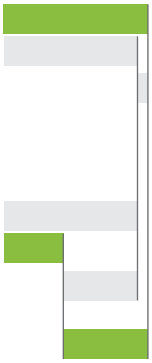
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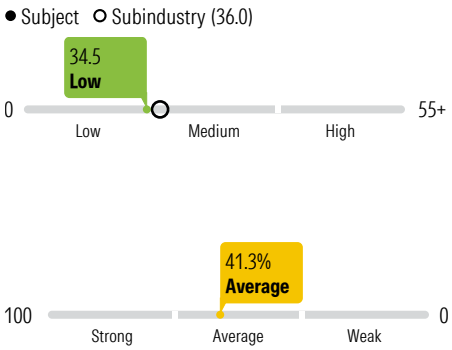
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ESG Risk Rating Breakdown

Exposure	
Company Exposure[1]	34.5
– Manageable Risk	32.0
Unmanageable Risk[2]	**2.5**
Management	
Manageable Risk	32.0
– Managed Risk[3]	13.2
Management Gap[4]	**18.8**
Overall Unmanaged Risk	**21.3**

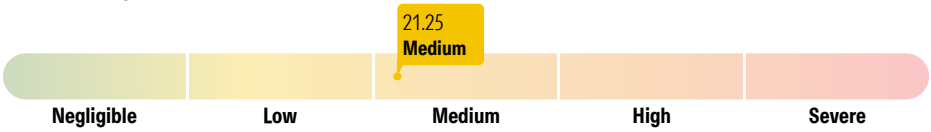




- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 41.3% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Apr 22, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Enterprise and Infrastructure Software. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 22 Apr 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Roper Technologies Inc	34.5 | Low	0	55+	41.3 | Average	100	0	21.3 | Medium	0	40+
Berkshire Hathaway Inc	32.5 | Low	0	55+	22.8 | Weak	100	0	25.2 | Medium	0	40+
Danaher Corp	28.1 | Low	0	55+	71.6 | Strong	100	0	8.9 | Negligible	0	40+
IDEX Corp	47.8 | Medium	0	55+	44.6 | Average	100	0	27.7 | Medium	0	40+
Fortive Corp	55.7 | High	0	55+	50.1 | Strong	100	0	30.4 | High	0	40+

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Appendix

Historical Morningstar Rating

Roper Technologies Inc ROP 22 Apr 2026 21:25, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★★	★★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★

Danaher Corp DHR 22 Apr 2026 21:27, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★	★	★	★	★	★	★	★	★	★	★	★

IDEX Corp IEX 22 Apr 2026 21:28, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

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Berkshire Hathaway Inc Class A BRK.A 22 Apr 2026 21:25, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

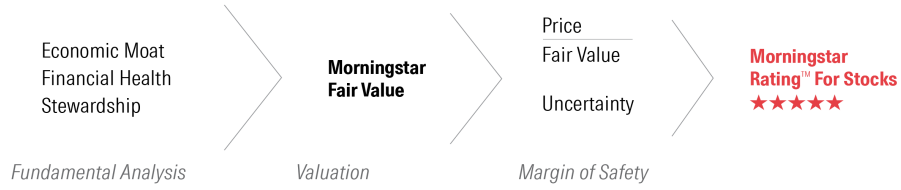
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

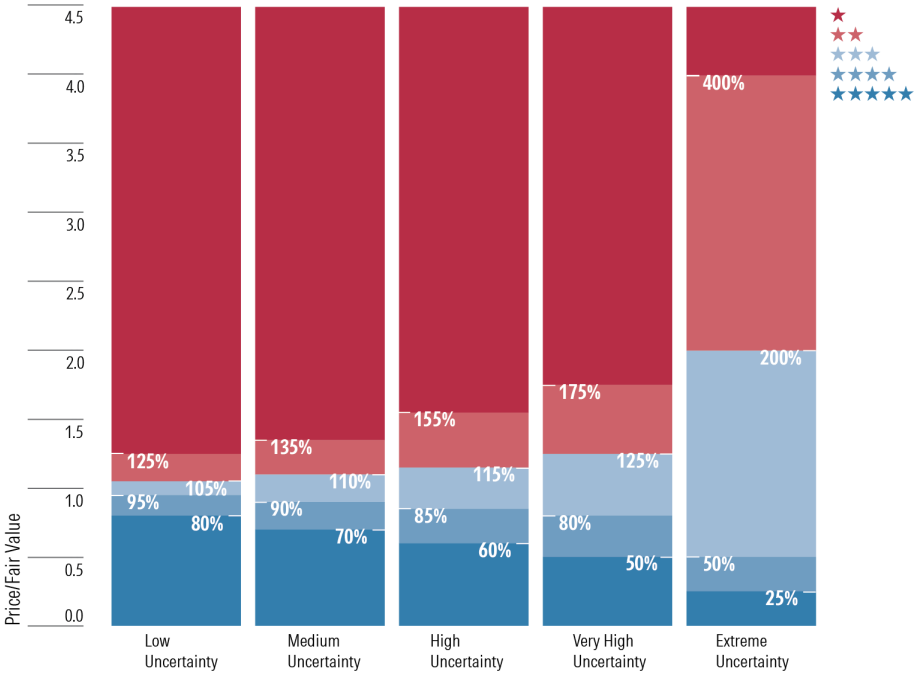
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Risk Warning

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